Erudite Connect

SECTOR INVESTMENT REPORT · ETHIOPIA

Tourism and hospitality

Opportunities, published returns and incentives, drawn exclusively from reports by international institutions and the Government of Ethiopia.

PUBLIC EDITION

Erudite Connect · Powering Smarter Business Decisions
Erudite Africa Investments PLC · Addis Ababa

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Executive summary

Tourism is gaining momentum: the Ministry of Tourism reported more than 1.2 million international tourists and upwards of 2 billion US dollars in revenue over the nine months reported on April 1, 2026, alongside over 30 million domestic travelers. Ethiopian Airlines carried 19.0 million passengers and earned $7.6 billion in the fiscal year to June 2025, and the African Development Bank is lead arranger for nearly $8 billion of the $10 billion Bishoftu airport, a project it describes as set to be Africa's largest airport by 2029. Star-rated hotels, lodges, MICE facilities and tourist transport are open to foreign investors, with income tax exemptions and duty-free import of capital goods available for new enterprises.

INTERNATIONAL TOURIST ARRIVALS
More than 1.2 million

INTERNATIONAL TOURISM REVENUE
Upwards of 2 billion US dollars

DOMESTIC TOURISM
Over 30 million local travelers, more than 60 billion Birr

INTERNATIONAL CONFERENCES HOSTED
Over 150 (double the previous fiscal period), bringing about 1.3 million foreign visitors

01 Key indicators

Indicator	Value	Period
International tourist arrivals	**More than 1.2 million**	Past nine months, reported April 1, 2026 (Ministry of Tourism)
International tourism revenue	**Upwards of 2 billion US dollars**	Past nine months, reported April 1, 2026 (Ministry of Tourism)
Domestic tourism	**Over 30 million local travelers, more than 60 billion Birr**	Past nine months, reported April 1, 2026
International conferences hosted	**Over 150 (double the previous fiscal period), bringing about 1.3 million foreign visitors**	Ethiopian fiscal year 2017 (2024/25), per the Prime Minister
Hotels and restaurants share of GDP	**2.5 percent**	2023/24
Hotels and restaurants real growth	**9.1 percent (10.3 percent in 2022/23)**	2023/24

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Indicator	Value	Period
Ethiopian Airlines passengers and revenue	**19.0 million passengers (15.1 million international, 3.9 million domestic); revenue $7.6 billion, up 8 percent**	Fiscal year ending June 30, 2025
Ethiopian Airlines network	**Fleet of 180 aircraft (13 added); 136 destinations (six international routes added)**	Ethiopian fiscal year 2017 (2024/25), per the Prime Minister

02 Returns and yields

Measure	Value	Period	Basis
Treasury bill weighted average yield, all tenors (benchmark)	**12.3 percent (down from 15.5 percent a year earlier)**	May 2026	Monthly weighted average yield on all Treasury bills, NBE Monetary Policy Committee No. 7 press release
91-day Treasury bill yield (benchmark)	**11.0 percent (down from 16.1 percent a year earlier)**	May 2026	Weighted average yield on 91-day Treasury bills
Bank lending interest rate (all sectors)	**Simple average 14.25 percent; range 7.00 to 21.50 percent**	2023/24	Commercial bank lending rates across the economy, not specific to tourism or hotels

No international institution or Ethiopian government source we reviewed publishes an average return on investment for this sector. The closest published indicators included are National Bank of Ethiopia Treasury bill yields (12.3 percent for all tenors and 11.0 percent for 91-day bills in May 2026) and the economy-wide bank lending rate (average 14.25 percent, range 7.00 to 21.50 percent, in 2023/24).

03 Investment opportunities

- **Star-rated hotels and lodges.** The Ministry of Tourism lists star-rated tourist hotels and lodges, entertainment and shopping centers, food and beverage, leisure and sports, and tourism medical services as open to foreign investors.
- **MICE and conference tourism.** The Ministry of Tourism promotes Addis Ababa venues for events from ten to a few thousand delegates, including the AU Conference Centre and the Addis Ababa International Convention and Exhibition Center, which is under development on 11 hectares.
- **New destination projects.** The investment commission invites investors to join government-launched destination projects at Gorgora, Wonchi and Koisha, and lists hotels and resorts, convention centers, duty-free centers and cultural villages as opportunities.
- **Bishoftu airport hub.** The $10 billion Bishoftu International Airport, 40 km south of Addis Ababa, is planned for 60 million passengers initially and 110 million eventually, with Phase I completion expected

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in November 2029; AfDB is mandated lead arranger for nearly $8 billion and plans $500 million of its own financing, subject to Board approval.

- **Heritage and urban tourism.** The Ministry of Tourism cites the Dine for Nation destinations and restoration of Harar Jugol and Fasil Ghebbi as government priorities.

04 Incentives

- Tourism is listed among Ethiopia's priority economic sectors, and investors establishing a new enterprise are entitled to an income tax exemption that depends on the investment sub-sector.
- Investors may import duty-free capital goods and construction materials to establish a new enterprise; in sectors other than manufacturing and agriculture, investors with at least USD 200,000 and 50 permanent Ethiopian jobs may import duty-free capital goods for up to 5 years.
- The Ministry of Tourism offers pre- and post-bid assistance, convention planning support and on-site services to organizers bringing international events to Ethiopia.

05 Points to consider

- Investment rules differ by segment: star-rated hotels and lodges are open to foreign investors, while non-star hotels, lodges, guest houses, restaurants, travel agencies, ticket sales and tour operation are reserved for domestic investors, and foreign investors may hold up to 49 percent in domestic air transport.
- Institutional set-up is being updated: a draft proclamation discussed in parliament in October 2026 would re-establish the Ministry of Tourism as the Ministry of Culture and Tourism, so investors should confirm their counterpart ministry.
- Bishoftu airport timelines depend on financing approvals and site preparation: the AfDB financing remained subject to Board approval at signing, and the project includes a $350 million resettlement and livelihood restoration allocation.

A detailed risk and outlook assessment for a specific business or investment is part of Erudite Connect's analyst due diligence. Contact us to arrange one.

References for members. Every figure and statement in this report is drawn from documents published by international institutions and the Government of Ethiopia. The full list of sources, with document titles, dates, page references and direct links, is included in the member edition, available free to registered Erudite Connect members on the platform.

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